Article | 25 August 2026 GERMANY

Germany’s hot political autumn

The weather is cooling in Germany, but politics is heating up. Three state elections in a fortnight now decide how much authority the Merz government has left

Alice Weidel and Tino Chrupalla, co-chairpersons of Germany’s far-right Alternative for Germany (AfD) party

It is Germany’s super election year, and that is without a federal election. Two state elections at the start of the year, three more this autumn. State elections hit federal policymaking twice over: directly through the Bundesrat, which reviews every law parliament passes and can veto those touching state powers, and indirectly through the mood they set inside the parties and inside the governing coalition. A regional election is always that rare hybrid – a vote on local matters and local politicians, and a running poll on the popularity of the federal government.

Germany’s election year got off to a relatively quiet start, but is about to end with a bang. In March, the Greens held Baden-Württemberg by some 27,000 votes over a CDU that gained almost six points and then lost the top spot in the final days of the campaign, and the CDU took Rhineland-Palatinate after 35 years of Social Democratic rule. The CDU escaped with bruises. Its junior partner in the federal government, the SPD, continued the downward trend of recent years.

Now three state parliaments are up within a fortnight: Saxony-Anhalt on 6 September, then Mecklenburg-Vorpommern and Berlin together on 20 September. Roughly 5.4 million people are entitled to vote across the three, about 8% of the German electorate – and yet the outcome will set the political weather in Berlin for the remaining three years of this legislature, or could even end the coalition before the legislature officially does. In two of the three, the AfD leads. In the third, Die Linke does. In none of the three does the incumbent coalition still have a majority.

The timing is unkind. Friedrich Merz is one of the least popular chancellors ever; his party stands at some 21% in national polls, the SPD at 12, the AfD at 29. Government and country are struggling to agree on the far-reaching reforms needed to pull the economy out of a stagnation that has lasted far too long, regain competitiveness and confront structural challenges from demographic change to China's shifting role in the global economy. CDU and SPD agreed a reform package just before the summer, but not everyone in the parties supports it and implementation is cumbersome. The AfD, meanwhile, benefits from the government's inability – and at times unwillingness – to push reforms through quickly, and from the plain fact that reforms come at a cost.

What the polls are telling us

The election that probably matters most for the bigger picture is **Saxony-Anhalt** on 6 September. Not because of its size – 2.2 million people, four Bundesrat votes, the eleventh-largest state – but because the AfD is polling above 42% and could, for the first time in the Federal Republic's history, supply a state premier. If it wins an absolute majority, the case is clean-cut. If it comes first without one, uncertainty increases rather than falls: every other party would have to squeeze into a single coalition, or one of them would become kingmaker as the AfD's junior partner.

The incumbent CDU has no comfortable way out. Sven Schulze took the premiership only in January, succeeding Reiner Haseloff after 15 years, and his CDU-SPD-FDP coalition has since shed roughly a quarter of its support. On current polling, exactly one majority exists that excludes the AfD: CDU plus Die Linke plus SPD, with about one seat to spare. One seat, for five years, with a partner the CDU's own federal resolution forbids it to govern with.

Mecklenburg-Vorpommern offers a slightly different example. The AfD leads at 36% with Leif-Erik Holm, but Manuela Schwesig's SPD is at 29% – an extraordinary number for a party polling around 12% nationally. Asked directly who should be premier, voters back Schwesig over Holm by 47 to 27. Just 12% want a CDU-led government at all.

Schwesig's coalition with Die Linke would nonetheless lose its majority. The likely repair is an SPD-Linke-CDU arrangement, which would put the CDU into government as the fourth-placed junior partner of a red-red coalition. Note the shape of that: to keep the AfD out, the CDU may end up governing with Die Linke in two states on the same fortnight.

Berlin is a different animal: 2.4 million voters, four Bundesrat votes, and an AfD that at 17% is nearly double its 2023 result but nowhere near winning. The drama here is fragmentation: Die Linke, CDU, AfD, Greens and SPD are currently inside six percentage points, and every plausible majority needs three of them.

The CDU has fallen roughly nine points from its 2023 high, and Kai Wegner – the first conservative mayor of Berlin since 2001 – withdrew his candidacy in July after months of criticism over his handling of the January blackout, staying on only until a successor government is formed. Finance Senator Stefan Evers inherited the candidacy and the acting party chairmanship with 10 weeks to run. Die Linke, campaigning hard on rents and expropriation with Elif Eralp, currently leads.

The AfD's grab bag of economic policies

Underneath these three horse races sits a broader story, and one that markets and the business community should be paying more attention to than they are: the rise of the AfD to Germany's largest political party, at least according to the polls.

On economic policy, the AfD remains a grab bag, or a surprise bag. What it actually wants is unclear; contradictions are not rare and very little has been committed to paper. The 2025 federal manifesto, adopted unanimously ahead of the federal election and still the binding party programme, contains an entire chapter demanding Germany's exit from the euro, a return to a national currency, gold repatriation and Target-2 "monetarisation". It also called for higher pensions. The ZEW scored it as having the largest financing gap of any party's programme.

Earlier this year, the AfD's parliamentary group published a position paper on economic policy. Measured against the 2025 manifesto, the deletions are the headline. The entire monetary-sovereignty complex – euro exit, D-Mark, gold, Target-2, Bitcoin – the party's founding DNA from 2013, is absent without a trace. Russia policy is laundered into supply-chain language. What remains is dressed as poisoned fruit for the CDU: the paper builds its tax reform on Paul Kirchhof's proposals – the flat-tax architecture Angela Merkel brought into the 2005 campaign, and which the SPD then turned into the "professor from Heidelberg" caricature that nearly cost Merkel the chancellery – and defends the constitutional debt brake as sacrosanct. The AfD is handing the CDU back a weapon that once blew up in its hands.

Where the party does put numbers on paper, the numbers have now been checked. On 5 August, a month before polling day, the Halle Institute for Economic Research costed the AfD's Saxony-Anhalt programme. Of 136 cost-effective measures, 28 can be quantified by official sources, at roughly €1.6bn a year; add the €877m of already-planned borrowing the party's no-new-debt pledge would have to replace, and the annual financing need is about €2.5bn. Against that stand €243m of provable savings, on assumptions deliberately generous to the AfD. Less than ten cents of every promised euro is covered. The residual gap of at least €2.2bn equals roughly a quarter of the state's entire tax revenue – and it is a floor, since 108 of the

136 measures could not be costed at all. However, here is the uncomfortable part for anyone who believes costs win arguments. The study landed on 5 August. The AfD's polling has risen since.

And then there is the small matter of what the party leader says when the cameras are on. In the ZDF Sommerinterview on Sunday, filmed in Vienna where she was meeting the FPÖ, Alice Weidel walked through the entire case against the single currency: an unstable soft currency, a machine for redistribution, a country that was doing distinctly better before it. What she did not do was say plainly that an AfD government would take Germany out of the eurozone. The argument was made in full; the commitment was left hanging. On Schengen she was blunter: the treaty would be cancelled. Which tells you something about where the party thinks its caution still pays. Even leaving the financing question aside, it remains completely unclear what kind of economic policy a state – or the country – would get with the AfD in government.

Why the three state elections matter for national politics

The direct impact on the German economy from the September elections will be very limited. At best, new state governments could undermine support for the federal reform package and slow implementation, or eventually derail it. The indirect impact could be much larger. Beyond the symbolic effect one or several AfD wins would have on foreign investor sentiment, there are potential reactions inside the parties themselves that could slow reform further and eventually bring down the federal government. Three triggers are worth watching.

One: the cordon sanitaire becomes expensive. Chancellor and CDU leader Friedrich Merz has held the line against cooperation with the AfD. September's arithmetic sends the bill. If the only non-AfD majorities in Saxony-Anhalt and Mecklenburg-Vorpommern are coalitions in which the CDU governs alongside Die Linke, an ugly internal debate follows about which taboo is load-bearing: the firewall against the AfD, or the party resolution ruling out coalitions with the Left.

Two: leadership risk becomes live. Merz remains the least popular chancellor on record. His U-turn on the debt brake and fiscal stimulus, the gap between words and action, the slow and cumbersome reform effort and some clumsy personnel management have all drawn criticism from within his own party. Over the summer there were already rumours of an attempt to replace him after the September elections. Easier said than done – but the mere existence of the debate signals unrest, and unrest can grow.

Three: the SPD's slowly growing existential crisis. There is a real risk the SPD misses the 5% threshold in Saxony-Anhalt and drops out of the state parliament altogether – unprecedented, and deeply unsettling for a party leadership already short of good news. The weaker the SPD's support, the likelier an internal fight over course: press on with the government's reform agenda, or unwind much of it and take a more French approach to economic reform.

For the economy, nothing will change in September. What the elections could change is the price of everything the government still wants to do. And how much time it will have left to do it.

Author

Carsten Brzeski
Global Head of Macro
carsten.brzeski@ing.de

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Article | 26 August 2026 COMMODITIES DAILY

The Commodities Feed: Oil falls as Strait of Hormuz talks advance

Oil prices remain under downward pressure as Iran and Oman talks on the Strait of Hormuz move forward and Pakistan signals some progress in talks with Iran to end the Middle East war

Energy – Russia looking to extending diesel export ban

Oil prices continue to retreat, with ICE Brent settling 3.89% lower yesterday and breaking below $90/bbl. This downward pressure continued in early morning Asia trading today. The catalyst appears to be positive signals from Persian Gulf talks. Following a visit to Tehran, Pakistani officials say they have made significant progress on ending the war. Meanwhile, Iran and Oman appear closer to an agreement on shipping routes through the Strait of Hormuz. However, any agreement between these two parties does not mean we will see normalisation in oil flows through the key chokepoint. We would likely need to see the US lift its blockade on Iranian ports and ease sanctions on Iran before we see any move towards normalisation.

Oil-flow surveillance has quietly become one of the market's most critical risk metrics. Tankers are increasingly transiting the Strait of Hormuz with transponders switched off, complicating visibility just as there's been a noticeable pickup in shuttle movements moving crude out of the Persian Gulf. Together, these trends make real-time tracking of Hormuz flows a far more consequential and challenging task for traders. The US claims that an average of 8-9m b/d of oil is flowing through the Strait of Hormuz, which may be achievable over short time periods. However, over a longer time frame, this number seems aggressive. Several ship-tracking estimates are coming in much lower, ranging from 2m b/d to around 6m b/d.

Overnight API inventory data show US crude oil inventories rose by 4.2m barrels over the last week. However, the products market tightened further, with gasoline and distillate inventories falling by 3.2m barrels and 500k barrels, respectively.

Reports say Russia is considering extending its diesel export ban until 1 October amid ongoing attacks on refinery infrastructure in the country. This has tightened the domestic fuel market. Russia originally announced an export ban on 8 July, which was then extended until 1 September. Russia is the second-largest diesel exporter. So, the extended ban matters for the market, particularly given the tightness we are seeing globally in middle distillates.

Agriculture – Russia considers suspending grain export duty

Russia's Agriculture Ministry is considering suspending floating export duties on wheat, barley, and corn until the end of 2026. The proposal comes amid continued disruptions in shipments from the Azov Sea and Black Sea, which account for over 70%

Author

Warren Patterson
Head of Commodities Strategy
Warren.Patterson@asia.ing.com

Ewa Manthey
Commodities Strategist
ewa.manthey@ing.com

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Article | 25 August 2026

RATES SPARK

Rates Spark: An uneasy calm

US Treasury long-end buyback talk continues to reverberate, but will slowly morph toward a front-end focus as we wind up towards Jackson Hole on Friday. Meanwhile, geopolitical headlines suggest more economic uncertainty ahead, while market-implied volatility measures see no concern, which is a concern

With the 30yr swap spread continuing to edge lower, attention turns to the front end and the Jackson Hole Symposium

US back end behaves itself as focus slowly switches to the front end

The US 30yr swap spread continued to edge lower through Tuesday. Not by much, by a basis point, but is, in cumulative terms, tighter by some 6bp since last week's "at least doubling of buybacks" announcement. That, no doubt, is pleasing for Treasury Secretary Bessent, as it identifies a material richening of long-end Treasury yields relative to long-end SOFR (aka "risk-free") rates. In addition, the absolute 30yr yield is back down to the lows that it saw on the day of the announcement. Similar for the 10yr yield. The absolute level of long-end yields is the focus of the buyback strategy, but the swap spread is the better measure of the distilled effect of the policy, on a theory that an absolute richening versus the risk-free rate identifies pure impact.

The carry spread (fed funds rate to the 2yr yield) has also calmed back below 60bp, and so, still playing with the notion of a 25bp hike at some point. But it's not that convincing. Traditionally, the carry spread is in the 75bp to 100bp range ahead of a rate cycle. Neutrality would be in the area of 30bp (where funds rate stability is anticipated). So, it's closer to discounting a hike than not, but without conviction. In the meantime, the ongoing richness attached to the 5yr part of the curve tells us one of two things. Either, 1. The Fed does not hike. Or, 2. If they do hike, they will subsequently cut by more than they hike, and those cuts come within the coming 18 months.

While Treasury Secretary Bessent continues to boss the back end, or intends to. Chair Warsh would probably like to do the same on the front end, but has chosen to lie low for now. He'll have a chance to opine some more on Friday at the Jackson Hole Symposium. We don't expect a whole lot though, apart from his commitment to achieving price stability. There'll be all kinds of expectation for him to opine on the elevated deficit and the increased long-end buybacks. But don't expect much. Far more likely that he'll be balanced and non-committal; at least until we get to the point where he can convincingly voice a rate cut preference (not this Friday though).

Market-implied volatility measures do not reflect intensification of geopolitical risks

While headlines suggest a further intensification of geopolitical risks, volatility measures don’t seem to reflect such concerns. Equity measures such as the VIX are pointing at a very benign risk environment, being close to this year’s lowest levels. Also, the implied rate volatility is very well-behaved. The volatility of the short end of euro rates has clearly drifted lower over the past month.

One could argue that the tail risks of a full escalation in the Middle East have eased again. Signals that the US is actively seeking to open the Strait of Hormuz reduce the probability of oil surging well past $100/bbl again. But until we see concrete steps towards a reopening, the path of least resistance remains for a drift up from current prices. Also, watch European gas prices as these continue to trade at this year’s high. As we approach winter, the rebuilding of gas reserves can trigger more volatility.

In addition, we also have the uncertainty around second-round inflation risks, which could challenge current central bank pricing. Overall, we think the second-round effects should be limited because wage pressures remain subdued. In our baseline, we therefore only see the European Central Bank hike rates once more, but higher oil prices for longer could easily trigger a hiking path towards 2.75%. Meanwhile, markets have turned more dovish for the Fed, but data like Wednesday’s PCE deflator continue to pose uncertainty.

Wednesday's events and market views

Besides geopolitical headlines, the US PCE data should draw markets' attention. Consensus expects a 0.2% month-on-month for the core reading and just 0.1% MoM for the headline. Such numbers would help the Fed hold rates stable during September's meeting. Other data includes US personal income and spending numbers from July and also durable goods orders.

Italy will auction €2.5-3.0bn of a new 2y BTP. Germany will auction a 15y Bund and a 22y Bund for a total of €2bn. The US will auction $28bn of 2y FRNs and a new $70bn 5y Note.

Author

Padhraic Garvey, CFA
Regional Head of Research, Americas
padhraic.garvey@ing.com

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

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Article | 25 August 2026 FX

FX Daily: Dollar caught between many fronts

The dollar is starting the week on a firm footing, juggling several drivers at once: the bond market remains a key focus, while trade headlines are increasingly moving currencies, especially CAD as US-Canada trade tensions keep escalating. Attention today will also turn to data, with US consumer confidence and the German Ifo survey in the spotlight

Canada's auto industry remains in the crosshairs of US trade policy

USD: Bond market helping a small recovery

Developed currencies have started the week on a quiet note despite the abundance of headlines. The dollar continues to take cues from the US bond market, with a good session for the back-end allowing the greenback to find some support. *CNBC* reported yesterday that the Treasury may use its account at the Fed (TGA) to fund its buyback operations for long-dated debt. Our rates colleagues argue that this would not be a big deal for the bond market, as buybacks funded through bill issuance today versus buybacks funded by running down the TGA and issuing bills later are largely equivalent.

On Canada, the situation is still in the escalation phase. Trump has announced 50% tariffs on Canadian autos and parts from 1 January. The distant implementation date suggests some caution around disrupting the auto sector ahead of the midterms, while also leaving ample room for negotiations. At the same time, both sides remain firmly in trade-conflict territory. We think the rebound in USD/CAD can extend beyond 1.390.

On Iran, the US announced a large sanctions package and, more importantly for markets, threatened other countries with economic punishment if they do not cut ties. China is the main focus here. Any serious revival of the US-China trade spat would be negative for the dollar in our view, mirroring last year's USD correlation with the issue. The US-Canada dispute could incidentally amplify that negative dollar reaction.

On the data side, along with some housing figures, we will look at August consumer confidence figures following soft prints in June and July. The balance of risks for the dollar remains skewed to the downside, but our baseline is for further consolidation into the Jackson Hole risk event later this week.

Francesco Pesole

EUR: Still a bit expensive

Our models suggest the short-term fair value for EUR/USD sits just below 1.160, an indication there is probably some – albeit contained – risk premium on the dollar linked to the US Treasury buyback announcement from last week. That helps our view that EUR/USD is more likely to stabilise than take another leap higher – i.e. above 1.170 – at this stage.

On the macro side, the German Ifo is in focus this morning. Remember that the index has shown some improved optimism in the German business environment this summer, and expectations are of another robust read.

Francesco Pesole

GBP: Volatility may stay subdued

EUR/GBP has gradually eased back to the pre-UST buybacks 0.8550-60 area – a signal the positive premium on the euro has been scaled back. If calm is indeed restored in the bond market, expect the pair to return to tracking short-term rate differentials closely.

That could mean a low volatility environment though, as the UK calendar is rather empty for the next couple of weeks. Anyway, we retain a preference for higher EUR/GBP as market pricing for 32bp of Bank of England tightening by year-end remains too hawkish. We still expect no hikes and a move to 0.870 in the coming months on the back of dovish repricing in the GBP front end.

Francesco Pesole

AUD: Limited dovish room ahead of CPI release

Australia releases July inflation data at 02:30 BST tomorrow. Consensus expects headline CPI to slow from 3.8% to 3.3%, although the volatility of the series means the trimmed mean is likely to attract greater attention. Expectations are for a modest easing from 3.6% to 3.5%.

In our view, such an outcome would remain consistent with our call of no further RBA hikes this year as inflation continues to moderate. At the same time, it is unlikely to be enough for Governor Michele Bullock to adopt a more dovish tone.

Bullock has remained notably hawkish, yet markets continue to price only a 50% probability of a hike by year-end. Even a small inflation surprise could narrow the gap between market pricing and Bullock's rhetoric, providing near-term support for AUD.

More broadly, we remain constructive on AUD/USD. Our 0.72 end-3Q target has nearly been reached sooner than expected, but strong fundamentals and attractive carry still make a move above the May 0.7260-70 highs before year-end a compelling scenario.

Francesco Pesole

Author

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

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Article | 25 August 2026 COMMODITIES DAILY

The Commodities Feed: Oil shrugs off Bessent's 'D-day' plan for Iran

Oil prices drifted lower yesterday despite renewed US plans to tighten economic pressure on Iran. Meanwhile, anxiety is building in Europe's gas market as storage levels look increasingly fragile heading into the heating season

Energy - EU gas prices continue to move higher

Oil prices are steady this morning, holding onto yesterday's losses after ICE Brent closed 2.35% lower. The market seems largely unfazed by Washington's push for tighter economic pressure on Iran, with traders treating the US effort to nudge partners away from Iranian trade as marginal rather than market-moving. The US announced more than 70 Iran-related sanctions and is threatening secondary sanctions on those that do not cut trading ties with Iran. However, China is the largest buyer of Iranian energy. It remains unclear whether the US would risk a fragile trade truce with Beijing over secondary sanctions. The market is still awaiting further details on a possible timeline for trading partners to wind down ties with Iran.

Supply concerns continue to grow in the European natural gas market, particularly with storage levels, as the region moves closer towards the heating season. TTF front-month futures settled more than 3.7% higher yesterday, with prices breaking above EUR68/MWh and to their highest level since March. EU gas storage is a little under 63% full, below the 5-year average of 80% and also lower than the almost 76% seen at the same stage last year. At the current rate, it will be difficult for the EU to hit even the lower storage target of 75% ahead of the heating season. This raises the prospects of forced buying, increasing upside risk for gas prices.

Metals - Copper supported by fresh LME inventory drawdowns

Copper edged higher after fresh withdrawals from LME warehouses renewed concerns over tight exchange inventories. LME cancelled warrants increased by 51.4kt, the largest daily rise since May. Most cancellations were concentrated in US and Asian locations. The move follows last week's squeeze in the nearby market, which pushed prompt premiums to record levels.

Recent deliveries into LME warehouses helped ease some of the tightness. However, the latest withdrawal suggests that any recovery in inventories may prove temporary. Inventory movements remain a key focus, with exchange stocks still relatively low.

Copper remains supported by strong metal flows into the US. Elevated US premiums are encouraging shipments into the country, tightening availability elsewhere.

Meanwhile, record-high prices are raising demand concerns, particularly in China. Physical market conditions remain healthy, but buyers are becoming more cautious as prices continue to climb.

Copper has also found support from a weaker US dollar and remains up almost 15% year-to-date.

For now, tight inventories and continued US-bound flows remain the dominant drivers, leaving the market vulnerable to further bouts of tightness and volatility.

Agriculture – Corn rises on lower yield expectations

CBOT corn prices extended their rally yesterday, as expectations for a smaller US harvest and ongoing Black Sea tensions raise supply concerns. The recent Pro Farmer crop tour pegged the US corn crop at 15.3bn bushels with an average yield of 173.2bu/acre, well below the USDA’s production estimate of 16.01bn bushels and yield estimate of 180.7bu/acre.

EU corn yields are set to weaken further, with the European Commission’s latest MARS crop report estimating output at 6.61t/ha, down from a previous projection of 6.93t/ha, and below the five-year average of 7.1t/ha. Persistent hot and dry weather across Western and Central Europe significantly reduced summer crop yields. Yield estimates for wheat rose from 5.66t/ha to 5.68t/ha, in line with the five-year average.

Meanwhile, the Indian Sugar Mills Association (ISMA) lowered its 2025/26 gross sugar production forecast to 30.9mt from an initial estimate of 34.5mt (including volumes diverted to ethanol production). It cited adverse weather, lower cane yields, and weaker sugar recovery rates. Annual domestic demand is estimated at 28 to 28.5mt. To bolster domestic availability and curb prices, the government has introduced a duty-free import window, tightened stock-holding limits, continued special crushing operations, and facilitated an early start to the new harvest.

Author

Warren Patterson
Head of Commodities Strategy
Warren.Patterson@asia.ing.com

Ewa Manthey
Commodities Strategist
ewa.manthey@ing.com

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Article | 24 August 2026

RATES SPARK

Rates Spark: It’s about bigger buybacks, not how its financed

Deployment of the Treasury General Account as a financing mechanism for buybacks is an option. But really, it s no different to structural financing through bills, especially as the buffer is re-built. It s all about timing. That apart, eurozone growth may not grab headlines, but is beating consensus, adding to the upward pressure on euro rates

The best way to view effect of the buyback is by a narrowing of the swap spreads, which has already happened

The Treasury buyback story gets ballooned by talk of TGA deployment

We opined on talk that the US Treasury could deploy its deposit balances to finance buybacks of Treasuries here. We make the basic point that deployment of financing from the Treasury General Account (TGA) does not have a material effect on the potential for buybacks. They could just as easily be financed through bills issuance. The key messaging here is not on how the buybacks are financed, but on the threat that the buybacks could be increased again, and again, in the future should the US Treasury deem it a suitable policy. It kicks off from 9 September, and is liable to be more than double to begin with in any case, as already intimated by the Treasury Secretary.

Has the policy been effective? The absolute level of Treasury yields is of course relevant, but is only part of the story. The best way to view the effect of the buyback policy is through swap spreads. As Treasury yields fall relative to SOFR rates, the swap spread narrows, and that is what has happened. The 30yr swap spread tightened by 4bp when the doubling of long-end buybacks was announced. And narrowed by a further 3bp through Monday. In our opinion, this outcome is not because of talk of financing buybacks through the TGA. It's because such talk gives the clear impression that the buyback programme could be further expanded in the months ahead.

Improving eurozone growth adds to upward rates pressure

US headlines continue to grab markets' attention, but the underlying growth story in the eurozone should not be ignored, albeit the signals are more subtle. The eurozone's economic data have consistently beat consensus expectations over the past few months. In fact, the last time economic surprises were this much tilted into positive territory was in 2023. Of course, one could argue that expectations are also more subdued given the ongoing geopolitical turmoil and the consequential higher energy costs. But still, even in absolute terms, data such as PMIs are mostly well in positive growth territory.

An improving growth picture combined with still very positive market sentiment means more upside risk for euro rates. Even the release of Germany's Ifo survey outcomes on Tuesday could contribute to the drift higher. A further improvement in the German economic outlook would give confidence to the European Central Bank regarding a potential rate hike in September. So unless oil and gas prices make a significant turn lower, euro rates are unlikely to ease for now.

Tuesday's events and market view

In terms of data, EUR rates will mainly focus on Germany's Ifo business sentiment indicator. Last week's flash PMI had seen the services sector disappoint, but it saw a surprisingly strong reading for manufacturing.

In the US, we will be getting the Conference Board's consumer confidence index for August, along with the July new home sales and building permit numbers. The Fed's Barkin will be speaking on two occasions.

In the government bond primary markets, Germany will auction €5bn in 2y bonds while the UK sells £4bn in 7y gilts. The US auctions US$69bn of new 2y notes.

The broader Sovereign, Supranational and Agency (SSA) market also remains active. We have seen mandates from German Land Berlin (10Y) and French Ile de France Mobilites (10y EuGB) at the start of the week. From the Supras, the World Bank mandated a new EUR bond (10y sustainable) while the ESM is in the market for a new 5y US$ bond.

Author

Padhraic Garvey, CFA
Regional Head of Research, Americas
padhraic.garvey@ing.com

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

Benjamin Schroeder
Senior Rates Strategist
benjamin.schroder@ing.com

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Article | 24 August 2026 HUNGARY

National Bank of Hungary preview: More clues for more cuts

Hungary's 'mini rate cut cycle' is coming to an end, but further easing remains likely, particularly because of the recent improvement in inflation. The central bank will probably wait for the September forecast update before committing. We see a below-5% base rate by year-end

Mihaly Varga, Governor of the National Bank of Hungary

Our call

In line with the central bank's commitment to a summer 'mini rate-cut cycle', another rate cut in August will come as little surprise. Since the July meeting, the macro and market backdrop has done nothing but strengthen the case for an expansion of the rate cut cycle. However, one step at a time: we anticipate a 25bp reduction in the base rate, taking it down to 5.50% on 25 August.

Looking ahead, Governor Varga said that the next key moment for monetary policy would be the September Inflation report and its updated staff projections. We do not doubt that, when the time comes, the central bank will express even greater optimism about the inflation trajectory. July's headline inflation print of 1.2% YoY was even lower than the central bank's latest forecasted uncertainty band for the data. This suggests that the inflation path will need to be revised downwards further over the monetary policy horizon, with energy prices and the

EUR/HUF exchange rate remaining more or less unchanged (even though volatility has remained elevated).

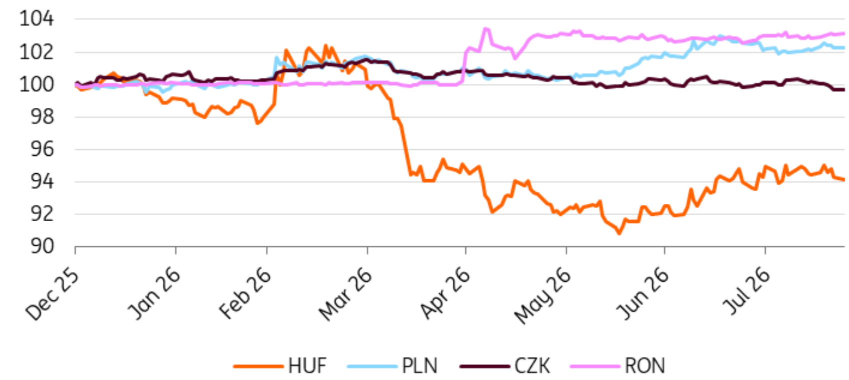
> **We forecast a terminal rate of 4.75% for this year.**

Against this backdrop and assuming there are no black swan events in the form of another geopolitical or energy crisis, we forecast a 'mid-sized' rate cut cycle involving three further cuts following the move in August. At a local level, we believe that Hungary could receive further structural market support if the right steps are taken to secure as much RRF funding as possible, and if this year's budgetary revision is both honest and credible. Therefore, we forecast a terminal rate of 4.75% for this year, which would still provide a sufficient risk premium and positive real interest rate to preserve market stability.

Our market views

The Hungarian forint repeatedly tested the 366 EUR/HUF level in August, its weakest level since the April elections. A mix of global geopolitical uncertainty, local energy supply concerns and crowded long positioning pushed EUR/HUF higher. Despite higher rate volatility, markets still keep a dovish bias on Hungary relative to the rest of the region, leaving the overall backdrop unfavourable for the forint.

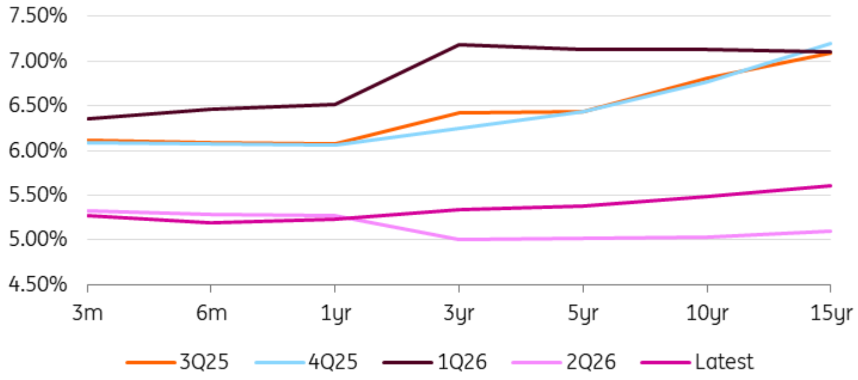
CEE FX performance vs EUR (end-2025 = 100%)



Source: NBH, ING

That said, most of these headwinds should prove temporary, and we expect market sentiment to turn more supportive again. In our view, EUR/HUF remains range-bound, with less scope for a rally than in fixed income. Still, levels above 364 look cheap if global sentiment improves.

Hungarian yield curve



Source: GDMA, ING

Rates now price in around 70bp of easing, including the August meeting, keeping Hungary an outlier within EMEA. Despite repeated downside inflation surprises, markets have stayed cautious amid geopolitical risks and reduced rate cut bets in July and August. We see scope for more easing to be priced in and for the curve to steepen, although – as with FX – this depends on some improvement in global sentiment.

Some background

Inflation edged lower again in July despite the global energy price shock sparked by geopolitical tensions. The forint's strength continues to exert a powerful stabilising influence on prices, prompting us to revise our inflation outlook lower once more. We now forecast average inflation of just 1.7% in 2026, reinforcing our conviction that substantial monetary easing remains on the cards for the rest of the year. Meanwhile, second-quarter GDP data offered little evidence of an overheating economy or any imminent build-up of demand-driven inflation pressures.

Recent forint volatility is a reminder that the central bank cannot afford to be complacent. But even after EUR/HUF neared 367, it has recovered on the back of global sentiment. It is now hovering around the levels seen at the previous rate-setting meeting, around 362. The same can be said about Hungarian government bond yields, which have been fluctuating in a tight range over the last month.

Author

Peter Virovacz
Chief Economist, Hungary
peter.virovacz@ing.com

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Zoltán Homolya
Economic research trainee
zoltan.homolya@ing.com

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Article | 21 August 2026

COMMODITIES, FOOD & AGRI

Is gold back?

Gold has rebounded sharply from its July lows, supported by renewed investment demand and growing unease over the US fiscal outlook. But persistent inflation and the possibility of further Fed tightening mean the recovery is unlikely to be straightforward

Growing concerns over the US fiscal situation and investment demand are giving momentum to gold prices

Fiscal risks give gold fresh momentum

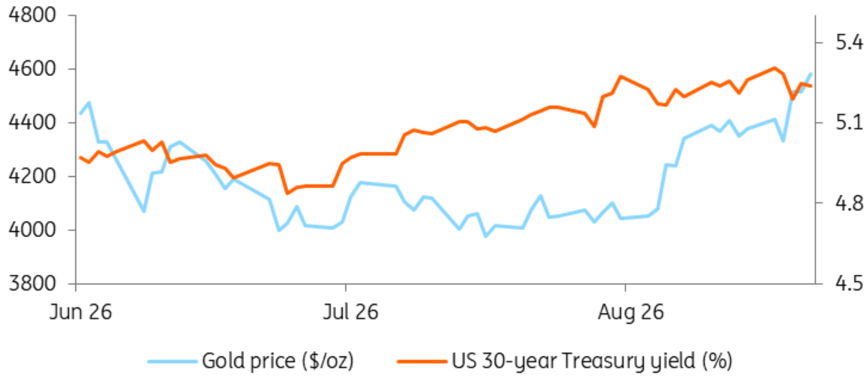
Gold has climbed from around $4,000/oz in mid-July to around $4,600/oz, returning to levels last seen in May.

The latest move followed the US Treasury's decision to increase its purchases of longer-dated government debt. The maximum size of buyback operations in the 10-to-30-year segment will rise from $2bn to at least $4bn, with Treasury Secretary Scott Bessent signalling that the programme could be expanded further.

The bond-market impact proved short-lived, with long-term yields subsequently recovering much of their decline. Gold, however, continued to strengthen.

In our view, gold's resilience suggests that the rally is not simply a response to lower yields. The prospect of larger Treasury buybacks has refocused attention on government borrowing and fiscal credibility. It has also revived concerns about currency debasement, reinforcing gold's appeal as a store of value.

Gold rebounds despite elevated long-term yields



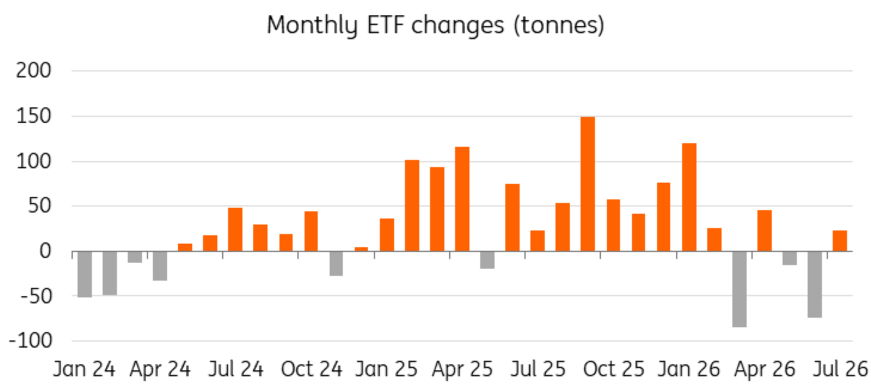
Source: Refinitiv, ING Research

A weaker dollar and lower short-term yields have helped gold rebound after prices found support around $4,000/oz in mid-July. Softer US data have also revived expectations that the Fed could begin easing policy in 2027.

Investment demand is recovering

The improvement in ETF demand is another positive signal. Global gold-backed ETFs attracted $3bn in July, lifting their holdings by 23 tonnes, according to the World Gold Council.

Gold ETF inflows return

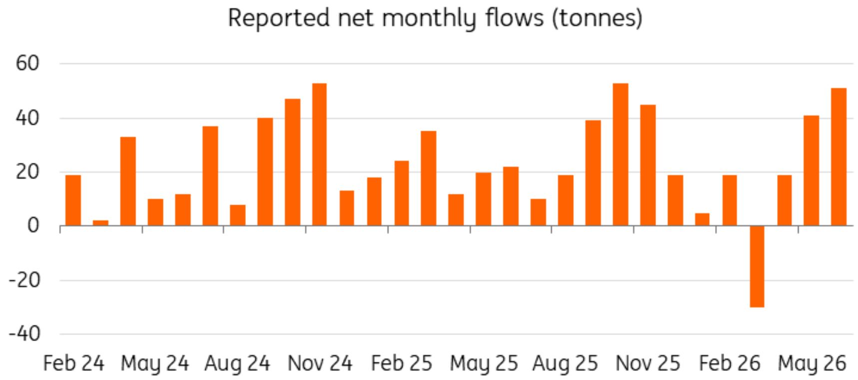


Source: WGC, ING Research

The recovery has continued into August. Funds tracked by Bloomberg added around 18 tonnes on Thursday alone, their strongest daily accumulation in almost a year.

Central banks also remain a significant source of demand. Reported net purchases reached 51 tonnes in June, taking the first-half total to 102 tonnes, with Poland and China leading the buying. We expect official-sector buying to continue supporting the market, but further gains will increasingly depend on whether Western investors maintain their renewed interest in gold.

Central bank purchases rebound



Source: WGC, ING Research

Inflation remains the main headwind

The rally still faces headwinds. Rising energy prices are adding to US price pressures and could keep monetary policy restrictive for longer.

[Minutes from the Fed's July meeting] showed that some policymakers favoured an immediate rate increase, while others were prepared to support further tightening if inflation remained elevated.

The Fed's annual Jackson Hole symposium from 27 to 29 August will be closely watched. Any indication that policymakers are becoming more willing to raise rates would risk lifting yields and the dollar. A greater focus on growth or financial stability would be more supportive for gold.

Upside risks to our outlook are growing

Our forecast of $4,150/oz for the fourth quarter (average price) assumes that persistent inflation keeps US monetary policy restrictive and prevents a sustained fall in yields. However, renewed ETF buying, a weaker dollar and mounting fiscal concerns are creating increasingly clear upside risks to our outlook.

Gold's correction appears to have found a floor. Renewed ETF buying and its resilience despite elevated yields suggest the recovery is on firmer footing, but further gains will depend on whether investment demand continues to build and how the Fed responds to persistent inflation.

Author

Ewa Manthey
Commodities Strategist
ewa.manthey@ing.com

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